Supreme Petrochem Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: SPLPETRO · Report prepared 7 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

India's biggest maker of **polystyrene**, the cheap hard plastic inside fridges, air-conditioners, food packs and disposable cups. It also makes **EPS** (expandable polystyrene, the white packing foam), **XPS** (extruded polystyrene insulation board), **mass ABS** (a tougher plastic used in appliance and car parts) and **compounds** (plastic recipes blended to order). Its main raw material, styrene monomer, is all imported. Profit is mostly the gap ("spread") between what styrene costs and what polystyrene sells for, and that gap is set by world markets, not by the company.

Number	Value	What it means in plain words
Market cap / price	₹13,030 cr / ₹693	52-week range ₹461 to ₹899. Roughly where it was at the last report.
Stock P/E	24.3	₹24 paid per rupee of the last twelve months' profit, and those twelve months still include the war-windfall June quarter.
Q2 FY27 revenue	₹1,957 cr, +78% YoY	Big jump. About a quarter of it is more tonnes sold; the rest is higher selling prices because styrene nearly doubled in price.
Q2 FY27 volume	95,242 t, +24% YoY, +35% QoQ	The real good news: small buyers came back and tonnes recovered after a weak June quarter.
Q2 FY27 EBITDA / margin	₹160 cr / 8.1%	EBITDA = operating profit before interest, tax and depreciation. Down from ₹331 cr and 19.5% in June. The windfall is gone and margin is back to its normal single-digit band.
Profit per tonne	about ₹15,600	Operating profit ÷ tonnes. Back inside the old ₹7,600 to ₹17,300 range, against about ₹46,700 in June. The clearest sign the spread has normalised.
Q2 net profit	₹95 cr	Almost double last year's ₹48 cr, but well under June's ₹236 cr.
Balance sheet	Debt-free, surplus ₹886 cr	Cash pile up from ₹463 cr in Dec-25. All capex paid from own cash. Interim dividend ₹2.5 a share.

2 Concall coverage

Quarter	Call date	Transcript read?	Note
Q3 FY24 → Q3 FY26 (9 calls)	Jan 2024 → Jan 2026	Carried forward	From the Q1-2027 report: honest on spreads, late on every plant
Q4 FY26	Apr–May 2026	Gap in prior report	Not read last time
Q1 FY27 (prior boundary)	29 Jul 2026	Read in prior report	Margin 19.5%, called "an aberration"
Q2 FY27	**27 Oct 2026**	**Newly deep-read in full ★**	Opening remarks and all Q&A (transcript filed 31 Oct 2026)

Only the Q2 FY27 call was read in full this quarter. The backstory comes from the Q1-2027 report. Mr Rakesh Nayyar, Executive Director & CFO, spoke for the company again.

Latest concall highlights · Q2 FY27 (call 27 Oct 2026)

- **The windfall has gone, exactly as management said it would.** EBITDA ₹160 cr at 8.1% margin against 19.5% in June. Spreads are back to normal: general-purpose polystyrene about USD 200 to 250 a tonne and high-impact about USD 300 to 350, against peaks above USD 300 and 400. Higher ocean freight is eating part of the gap too.

- **Tonnes came back.** Volume 95,242 t, up 24% on last year and 35% on June. "In the second quarter, the non-OEM segment is back into the market." Small converters (non-OEM) and appliance makers (OEM) now split sales about half and half. Half-year sales to outside buyers still fell 2.8% because exports barely happened.
- **Compounding is the quiet growth story.** Internal transfers of ABS and polystyrene into compounds and XPS were 11,700 t in the half against 4,300 t a year ago, already more than all of last year. Supreme has entered car parts and batteries, and has "got certain acceptance" for electric two-wheelers, "but then that is initial stages."
- **ABS plant still crippled.** First update since the December 2025 breakdown: the critical equipment "has still not been fully repaired and replaced", so the plant runs at 65% of rated capacity and uses 85% of that, about 40,000 t for the year.
- **Dates:** XPS wide-width board line "commercial production will start in the first quarter of FY27-28" (on time). Compounding 80,000 t now "sometimes in the third quarter of FY28", a slip from June 2027. Second ABS line by Q3 FY29. No volume guidance beyond "we would be doing better than last year" if things normalise after the US midterms. No guidance on margin: "I don't have a crystal ball."

2c Business mix & capacity

Domestic vs export: not disclosed as a revenue split. Exports have been near zero for two quarters because of Gulf supply cuts and freight, so call it almost all domestic right now. **Customers:** OEM vs non-OEM about 50/50; value-added grades about 40% of polystyrene. Trading sales (bought-in and resold) about 22% of the top line. Domestic market share in polystyrene about 60%.
Capacity: polystyrene 3.0 lakh t going to 3.8 lakh t by Dec 2028 · EPS about 1.45 lakh t · ABS 70,000 t rated but running at 65% · compounds 50,000 going to 80,000 t by Q3 FY28 · XPS wide-width 1.5 lakh cubic metres from Q1 FY28. **Utilisation:** ABS about 55% of rated (85% of the truncated 65%). Overall utilisation not restated this call; management said it rises once internal transfers are counted.

Since our last report ★

Builds on the Q1-2027 report (call 29 Jul 2026). Prior verdicts: trigger in the numbers **NO** (windfall, with a real capacity trigger further out) · consistency **MIXED** (honest on margins, unreliable on dates).

Prior read	What we said then	What the new call shows	Movement
Spread windfall	Temporary, already fading at the call	Margin back to 8%, spreads at normal levels	**Confirmed**
Volume slump	Down a quarter, non-OEM gone	Up 24% YoY, non-OEM back	**Improving**
ABS plant restart	No update for seven months	Still not fully repaired, runs at 65% of rated	**Slipping**
XPS line + compounds by June 2027	Both due June 2027	XPS on time for Q1 FY28; compounds pushed to Q3 FY28	**Partly on-track**
Haryana / Panipat project	Dropped out of the story	Not mentioned again	**Broken**
Polystyrene 5th line, Dec 2028	Approved, nothing built	Reaffirmed on demand from appliance makers setting up PLI plants	On-track

The prior report had no checkpoints box, so nothing to score as checkpoints. **Verdict change:** trigger upgraded from NO to MAYBE because earnings now come from tonnes, not a war spread, and compounding volumes are visibly growing. Consistency unchanged at MAYBE: the margin warning came true, but the compounding date slipped again and ABS is still broken.

3 Earning-trigger thesis

Is there a durable earning trigger?

Maybe. With the spread back to normal, what's left is a debt-free market leader selling more tonnes into an appliance industry that is building new factories in India, and moving more of its plastic into higher-value compounds for appliances, car parts and batteries. That shift is real and showing up in internal transfer volumes. But the new capacity that would lift earnings (XPS line, extra compounding, fixed ABS, the fifth polystyrene line) mostly starts between mid-2027 and end-2028, and this company's dates usually slip.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Spread windfall	"The spreads in the Q2 are the current spreads"	Margin 20% → 8%	Over	**Gone**	↓ ended as warned
Compounds / ABS value-add	"Acceptability of our compounded material for the ABS has been good"	Internal transfers 11,700 t vs 4,300 t; auto and EV two-wheeler trials	FY28–FY30	**Moderate**	↑ first numbers visible
XPS wide-width board line	Commercial production Q1 FY28, full in 24 to 30 months	Still on schedule	FY28–FY30	**Moderate**	unchanged
Polystyrene 3.0 → 3.8 lakh t	"All the major air conditioning and the appliance guys are setting up new units"	60% market share; India demand above 3.75 lakh t in FY28	Dec 2028+	**Durable**	unchanged
ABS plant	"Still not been fully repaired and replaced"	Running at about 55% of rated	Unclear	**Weak**	↓ ten months, no fix date

3b Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already debt-free
New business	**Yes**	"We have entered the auto components segment and we are now targeting next stage supplying to the electric mobility of two-wheelers" (27 Oct 2026)
Margin up	No	Margin fell back to 8% as spreads normalised
New management	No	Same CFO-led team
New capacity	**Yes**	XPS wide-width line "commercial production will start in the first quarter of FY27-28"; compounds 80,000 t "third quarter of FY28" (27 Oct 2026)
Big orders	No	Not discussed
Turnaround	No	Volume recovered, but no loss-to-profit story
Promoter buying	No	Promoters flat at 64.24%

Single concrete driver: more of its polystyrene and ABS going into in-house compounds for appliance, car-part and battery makers, with a new XPS insulation board line due to start in early FY28.

3c Margin bridge

Margin is about 8%, roughly where it was a year ago (7%) and far below June's 19.5%. The war-driven gap between styrene and polystyrene prices closed back to normal and higher freight on liquid cargo squeezed it further;

management says raw-material costs are "all passed through" with a lag, so there's no extra margin left to hold. The June spike was a one-off. **(one-off)**

4 Management consistency scorecard

Period	Promised	What happened	Verdict
Jan 2024	Spreads "maintainable", will improve	Margin bottomed at 5% in Dec 2025	**Missed**
May 2024 & Jul 2026	Boom margins are "an aberration"	Right both times; Q2 FY27 margin back to 8%	**Delivered**
Jul 2024 → Apr 2025	FY25 volume +8–10%	Grew 9.4%	**Delivered**
Jan 2024 → Jul 2026	EPS phase 2 by Dec 2024	Done Jul 2026, about 18 months late	**Partly**
May 2024 → Oct 2026	Mass ABS 70,000 t by Mar 2025	Started Sep 2025, broke Dec 2025, still at 65% of rated in Oct 2026	**Missed**
Oct 2024 → Jan 2026	Haryana project to start in 6–8 months	Not mentioned on the last two calls	**Dropped**
Jul 2026	XPS line and compounds 80,000 t by June 2027	XPS kept at Q1 FY28; compounds moved to Q3 FY28	**Partly**
Jul 2026	Non-OEM demand "back into the market"	Q2 volume +35% QoQ, non-OEM confirmed back	**Delivered**

Narrative drift. Same pattern as before. On the market, management is straight: it warned the margin was a fluke and it was, it still refuses to guide, and it said small buyers were returning and they did. On its own projects it's late again. The compounding date slipped a quarter within three months of being set, the ABS plant is still running on a damaged part ten months after it broke, and Haryana has simply vanished. Tone was calm and a little guarded, with lots of "very difficult to predict".

5 Bottom line

Durable earning trigger? → MAYBE vs last quarter: upgraded (from NO)

The windfall ended, which clears the noise. What moved the verdict is that this quarter's profit came from tonnes (volume up 24%) and the compounding business is clearly growing inside the company. Profit per tonne is back to a normal ₹15,600 or so. The bigger earnings lift needs the XPS line, the extra compounding and a working ABS plant, and none of those contributes before FY28. A real but slow trigger.

Management consistent? → MAYBE vs last quarter: unchanged

Nothing new moved this. The "aberration" call came true and the non-OEM comeback came true, which keeps the credit for honesty on the market. Against that, the compounding expansion has already slipped a quarter, ABS is still broken with no fix date, and the Haryana project stays unexplained. Trust what they say about demand and spreads; add months to every plant date.

6 Checkpoints for next quarter ★

- ABS plant repair finished and running above the reduced capacity limit
- Nine-month sales volume ahead of last year, as management expects
- XPS wide-width board line still on track to start in Q1 FY28